www.tntextbooks.in

equilibrium when AR=AC and MC=MR. It means that a firm earns normal profit. AR is tangent to the Long Run Average Cost (LAC) curve at point 'Q'.

5.8.3 Wastes of Monopolistic Competition

Generally there are five kinds of wastages under monopolistic competition.

1. **Idle Capacity:** Unutilized capacity is the difference between the optimum output that can be produced and the actual output produced by the firm. In the long run, a monopolistic firm produces delibourately output which is less than the optimum output that is the output corresponding to the minimum average cost. This is done so mainly to create artificial and raise price. This leads to excess capacity which is actually a waste in monopolistic competition. In diagram 5.8., MF quantity of output refers to unused capacity. If OF is produced, the society will get larger quantity with lower price.
2. **Unemployment:** Under monopolistic competition, the firms produce less than optimum output. As a result, the productive capacity is not used to the fullest extent. This will lead to unemployment of human resources also.
3. **Advertisement:** There is a lot of waste in competitive advertisements under monopolistic competition. The wasteful and competitive advertisements lead to high cost to consumers. It is also claimed that advertisements cheat the consumers by giving false. information about the product.
4. **Too Many Varieties of Goods:** Introducing too many varieties of a good is another waste of monopolistic competition. The goods differ in size, shape, style and colour. A reasonable number of varieties would be sufficient. Cost per unit can also be reduced, if only a few varieties are produced in larger quantity Instead of larger varieties with small quantity.
5. **Inefficient Firms:** Under monopolistic competition, inefficient firms charge prices higher than their marginal cost. Such type of inefficient firms should be kept out of the industry. But, the buyers' preference for such products mostly due to emotions. enables the inefficient firms to continue to exist. Efficient firms cannot drive out the inefficient firms because sometimes the Efficient firms may not be able to Spend money on attractive advertisement to lure the buyers. In reality, the consumers are mostly emotional rather than rational, as stated by Richard Theiler, the Nobel prize winner for the year 2017.Rational decision are made by mind; emotional decisions are made by heart.

Monopsony

Monopsony is a market structure in which there is only one buyer of a good or service. If there is only one customer for a certain good, that customer has monopsony power in the market for that good. Monopsony is analogous to monopoly, but monopsony has market power on the demand side rather than on the supply side.